European Luxury Goods & Specialty Retail

China: Recovery Keeps Getting Pushed Out

Ahead of the Q3 reporting season, we summarise our estimates and the key debates around China. With Golden Week likely to be subdued, regulatory pressures persisting and increased competition, we still struggle to identify a clear catalyst for a Chinese recovery.

Overall return to growth is becoming more elusive for the Chinese luxury market: We continue to see downside risk around Chinese luxury spending in the short term. Q3 trends deteriorated versus Q2, early Golden Week spending indicators appear muted and recent policy developments targeting offshore wealth and outbound travel create additional uncertainty for affluent consumers. While the debate remains whether current weakness is cyclical or temporary, we reiterate our view that China is seeing broader structural changes in consumer behaviour. As a result, we struggle to identify a clear catalyst for a meaningful acceleration in luxury demand over the coming quarters.

Setting the scene for Q3: China likely to be the key area of focus: We expect China to be the key focus during the upcoming Q3 reporting season as we try to understand whether the Q3 slowdown (which we already flagged in our note Postcard from China - Summer Slowdown) is mostly driven by a tougher comp base or whether it reflects a proper deterioration of trends. We expect the Chinese cohort to be down by around -7% across our coverage (vs c.+1% growth in Q2). We don't change estimates in this note and remain more constructive on Richemont (2Q27 preview: We remain at 16% for Jewellery Maisons) and Burberry (H1-27 preview: Expecting Burberry to stay resilient) ahead of the reporting season.

We still see downside risks around Q4 notably as Golden Week is unlikely to be a tailwind: Looking towards Q4, we estimate the Chinese cohort will be down -1%, which represents an improvement vs Q3 as well as on a 2Y stack basis. However, there could be downside risks to our expectations. Official government data around the Golden Week seems to indicate that travel demand remained healthy, while broader consumer spending stayed subdued. The longer holiday duration see this year (Mid-Autumn Festival was quickly followed by Golden Week) likely favoured experience-led destinations.

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We think latest policy changes impacting the wealthy cohort could likely worsen: Over the past few months, two new policies have been announced in China, which we think could have a broader impact for the high-end cohort. The first is the implementation of a 20% tax on offshore trusts, which we think could mostly hurt HNWI. Most importantly, Barclays Macro team believes that this announcement is a first step towards more control on offshore wealth, which could affect a wider base of wealthy Chinese (and not just HWNI) bringing more risks to consumer sentiment and discretionary spending (China Outlook: Greater oversight of offshore wealth (28/08/2026). The second announcement concerned additional regulation around travel notably for individuals working in the technology sector (on top of already existing restrictions for government officials and SOE). This news flow is a negative read across to offshore spending from China, which represents c. 35% of Chinese spending and is more concentrated in Asia post Covid.

Competition for consumer attention is intensifying: As demand growth slows, competition is becoming more intense. Luxury brands are investing in increasingly sophisticated retail experiences to stimulate traffic, while alternative channels such as resale continue to professionalise. At the same time, a growing number of domestic brands are building desirability among both Chinese and Western consumers. Together, these developments suggest that winning consumer attention in China is becoming increasingly challenging,.

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Cautious on H2-26 expectations for Chinese cohort

We expect Chinese cohort to decelerate in Q3-26

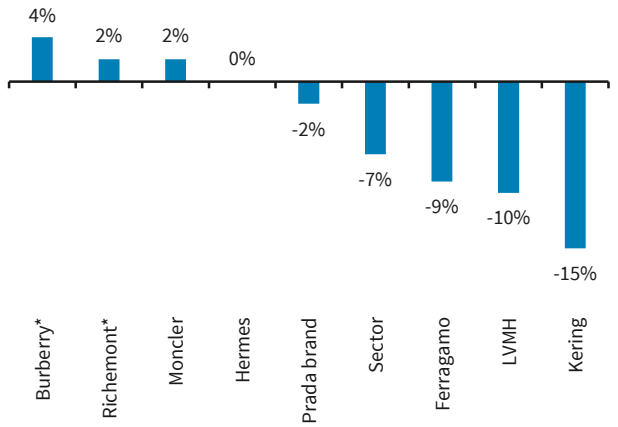
Implied Q3-26 estimates for Chinese cohort

Following the publications of our note Postcard from China: Summer Slowdown and the publication of our various Q3 previews, we share below a summary of the implied Q3 estimates for the Chinese cohort.

On average, we expect the Chinese cohort to be -7% in Q3 vs +1.5% in Q2. By company, we think the performance of the Chinese cohort could range from mid-teens negative to low single digit positive.

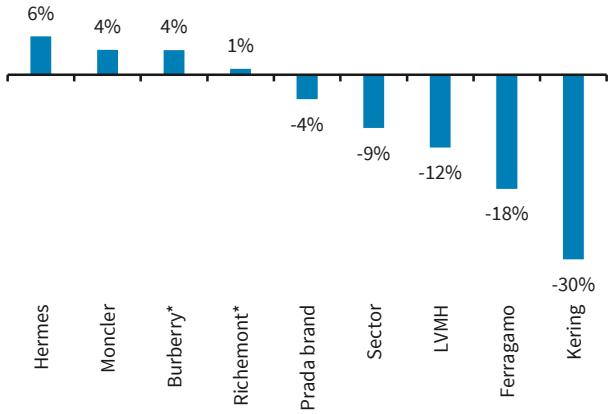
While it appears that China has deteriorated in Q3. the key focus will be to understand whether this slowdown is mostly driven by a tougher comp base or whether it reflects an actual deterioration of trends.

FIGURE 1. Q3e Chinese cohort growth by brand



Source: Barclays Research estimates

FIGURE 2. Q3e Chinese cohort 2Y stack growth by brand



Source: Barclays Research estimates

Key debates around the Chinese cohort

- **LVMH**: Unsurprisingly, the impact of the Molly Tea controversy for LV will be the focus in our view. We would like clarity on whether this is still affecting the brand as of October as this may not be reflected in Q4 estimates. On Dior, we would like to get insights on whether the new brand aesthetic is resonating well with Chinese consumers.

- **Kering**: Based on our channel checks, traffic remains subdued at Gucci in China. We think management's comments around the reception of the La Primavera collection, now in stores, could be a good way to get insight on brand heat. Following the small round of price cuts done for some products, we would also like management to comment on the way the Chinese reacted, in order to assess brand desirability risk.

- **Hermes**: We currently expect Asia Pacific to be flat in Q3 and thus wonder whether Hermes may have been slightly negative in Mainland China during the quarter. Beyond the key Birkin, Kelly, Constance handbags, it would be interesting to get insights on the popularity of other bags (Evelyne, Picotin, Garden...).

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- **Richemont**: We think Richemont may have benefited from the slower trends at Laopu Gold in Q3. Beyond jewellery, we also wonder how to think about the pace of recovery for the Specialist Watchmakers division.
- **Moncler**: The brand should not be immune to the slowdown in China this quarter, we continue to think that the brand heat of Moncler remains elevated but would be keen to hear management comments on the initiatives that could boost traffic in Q4 in China.
- **Burberry**: The brand seemed to have found its mojo back in China. We would monitor comments on how the brand intends to maintain this momentum going forward (the sustainability of Burberry's top-line growth level remains a pushback among investors).
- **Prada**: The normalization of Miu Miu remains a key part of the investor debate. We would monitor comments around the ability of Miu Miu to have a soft landing in 2027 despite the deteriorating trends in China.
- **Ferragamo**: China has been an underperforming market for Ferragamo in the past few quarters despite seeing return to growth in other regions such as the US. We thus continue to wonder what makes this market particularly difficult to crack for Ferragamo.

Looking at the start of Q4, we don't expect Golden Week to be much of a tailwind

As Chinese luxury spending becomes increasingly concentrated around major travel and holiday periods, Golden Week remains one of the key events to monitor in Q4. The first data points from this year's holiday period (1-7 October) suggest that travel demand remained healthy, while broader consumer spending stayed subdued.

According to official data, cross-regional trips reached 2.1bn during the seven-day holiday, up 0.7% YoY, while China's daily average inbound and outbound trips rose 6.7% YoY to 2.21m.

Travel platform Qunar also reported that bookings for long-haul flights exceeding 2,000km increased by more than 40% YoY during the holiday period. We note that international travel likely benefited from a particularly favourable holiday calendar, as the Mid-Autumn Festival and Golden Week were separated by only three days, allowing some workers to combine leave and enjoy up to 13 consecutive days off. Interestingly, destinations such as New Zealand and Iceland reportedly gained popularity during the holiday period.

In contrast, total Golden Week box office revenue, a KPI for discretionary spending, fell to RMB1.17bn from RMB1.84bn during Golden Week 2025, representing a decline of c.37% YoY.

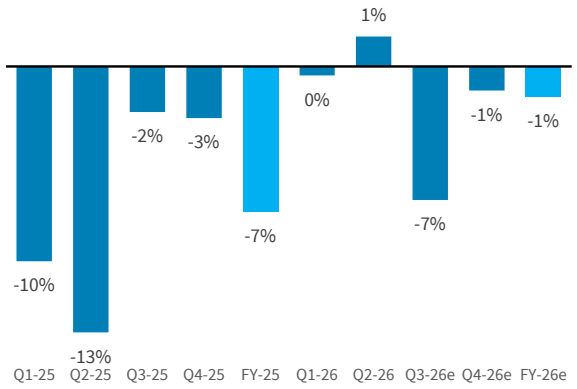
We view this as further evidence that Chinese consumers continue to prioritise travel and experiences over discretionary purchases and don’t expect the holiday to be a particular tailwind for spending on luxury goods.

Q4 expectations might be too optimistic

Looking towards Q4, we estimate the Chinese cohort will be down c.-1%, which represents an improvement vs Q3 as well as on a 2Y stack basis. However, considering the latest trends, we see downside risks to our expectations and have low visibility in 2027. As a reminder, our top-line estimates for FY26 are in line with consensus ahead of the Q3 reporting season.

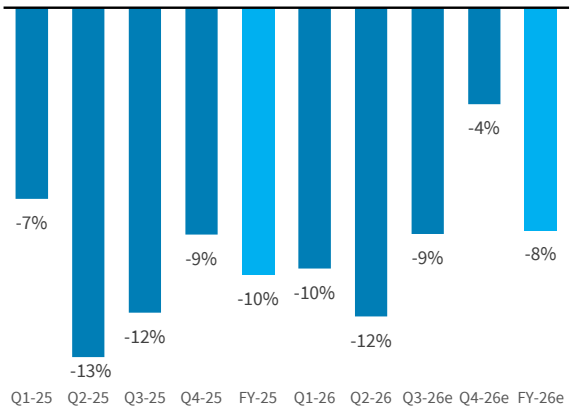
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FIGURE 3. Our Q4-26 estimates assume a sequential improvement vs Q3 (1/2)



Q4-26e organic growth - Chinese cohort
Source: Barclays Research

FIGURE 4. Our Q4-26 estimates assume a sequential improvement vs Q3 (2/2)



Q4-26e organic growth - 2Y stack - Chinese cohort
Source: Barclays Research

FIGURE 5. Our FY26 growth estimates are in line with consensus

	BARC FY-26	Cons. FY-26	vs Cons. FY-26
LVMH	2.5%	2.3%	15bp
LVMH - FLG	-0.4%	0.0%	-42bp
Kering	0.7%	2.0%	-124bp
Kering - Gucci	-3.6%	-1.5%	-219bp
Richemont*	13.3%	13.1%	27bp
Richemont - JM*	17.3%	15.8%	151bp
Hermes	6.1%	6.8%	-76bp
Prada	2.4%	3.5%	-112bp
Prada - Retail	1.6%	2.6%	-103bp
Burberry - Retail*	4.0%	3.3%	70bp
Moncler	5.6%	6.0%	-37bp
Moncler Brand - DTC	6.2%	6.7%	-50bp
Ferragamo	0.4%	0.8%	-44bp
Sector	**4.4%**	**4.6%**	**-14bp**

Barclays expectations vs Cons.
Source: Barclays Research, Bloomberg

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Regulatory changes affecting affluent cohort could worsen

Over the past months, two new policies have been announced in China which could potentially become headwinds for the Luxury sector: the implementation of a 20% offshore tax and additional restrictions around travel for some Chinese cohorts . We think these measures could affect the already fragile feel-good factor of some luxury buyers.

1/Increased scrutiny and taxes on offshore wealth could affect consumer sentiment

In July 2026, China introduced a series of measures targeting offshore wealth and outbound capital flows, including a new tax framework for offshore trusts.

China's new offshore trust tax rules, announced on 24 July 2026, impose a 20% tax on certain income and gains generated through offshore trusts, retroactive since 2023. The announcement was accompanied by a 90-day regularisation window which will close in late October.

When it comes to the Luxury Goods space, our concern is that this news flow could be an additional headwind to consumer sentiment, especially for the top-end cohort of consumers who have been the most resilient so far in China. In a best-case scenario, the financial impact on the affected individuals is limited. In a more adverse scenario, however, some individuals may need to raise liquidity to meet potential tax liabilities, potentially reducing their appetite for discretionary purchases.

How many people could be impacted and what proportion could be luxury buyers? While the precise number of individuals impacted by the new measures is difficult to assess, we believe the affected population is likely to be relatively concentrated, as offshore trusts are typically used by high-net-worth and ultra-high-net-worth individuals.

According to the 2025 Hurun Wealth Report, around 2.0 million Chinese households possess net assets exceeding RMB10 million (USD1.4 million), including approximately 127,000 households with assets above RMB100 million (USD14 million) and around 83,000 households with wealth exceeding USD30 million. Hurun estimates that, on average, HNWIs hold approximately 15% of their assets offshore.

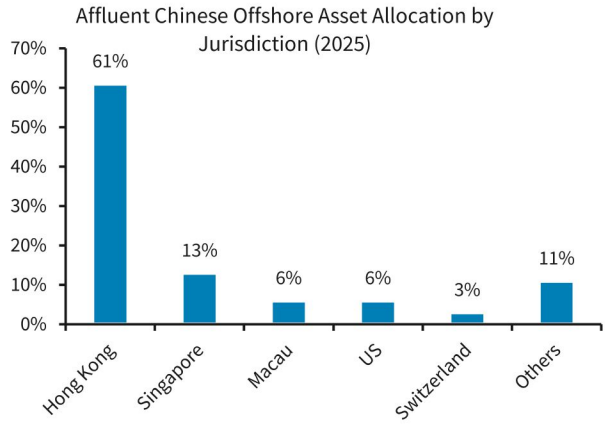
From a luxury industry perspective, the measures are therefore most likely to affect the VIC (Very Important Client) segment, which, despite representing a relatively small proportion of consumers, accounts for a disproportionately large share of luxury spending in China.

Could some individuals face liquidity constraints? There is a risk that certain individuals may face liquidity pressures as they adapt to the new tax regime, particularly if a meaningful portion of their wealth is tied up in illiquid assets. In such cases, some asset disposals may be required to meet tax obligations. That said, we understand that taxpayers may be able to settle liabilities through instalment payments, which could help alleviate short-term liquidity pressures and reduce the immediate impact on consumption.

Where are most of these offshore assets located ?: As flagged in a report from our Macro team China Outlook: Greater oversight of offshore wealth (28/08/2026), Chinese offshore wealth is concentrated primarily in Hong Kong (c.61%) and Singapore (c.13%), with additional assets held across the US, Switzerland and other offshore financial centres.

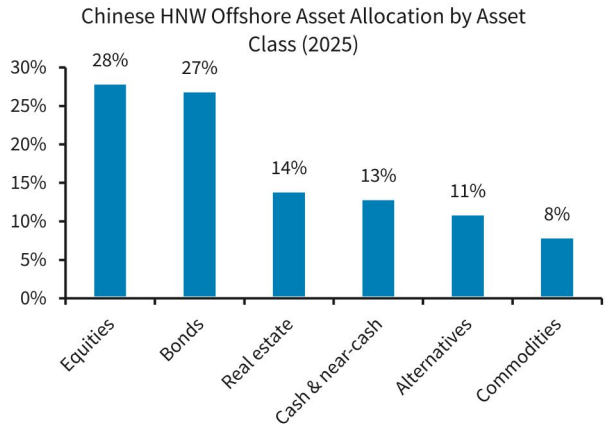
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FIGURE 6. Chinese offshore wealth is primarily concentrated in Hong Kong and Singapore...



Source: "Offshore Wealth Trends Among Affluent Chinese: Hong Kong and Singapore Lead as Offshore Wealth Hubs for Affluent Chinese", MDRi, 10 November 2025, Barclays Research

FIGURE 7. ...with over 80% of offshore wealth held in equities, bonds, real estate, and cash equivalents



Source: "China's HNW investors are abandoning property, providing an opportunity for wealth managers", GlobalData Global Wealth Managers Surveys, 1 April 2026, Barclays Research

Why are the authorities acting now? These measures come at a time where 1/China's fiscal pressures have risen significantly in recent years; 2/ China has faced rising capital outflow pressures over the past year, driven by weak domestic returns, the prolonged property downturn, and growing demand for overseas diversification; 3/ The measures come against a backdrop of weak performance in domestic assets and policymakers' efforts to channel savings toward strategic sectors. By reducing some of the tax and regulatory advantages associated with offshore trusts, insurance products, and cross-border investment channels, policymakers may be seeking to retain more domestic savings within China's financial system and improve their allocation toward priority sectors.

Could there be more to come? According to our China Macro team (report cited above), the recent offshore trust and insurance tax measures are potentially the first steps in a broader effort to strengthen oversight of offshore wealth and improve tax compliance. Policymakers could consider expanding scrutiny to areas such as exporter earnings held offshore, overseas investment income, overseas employment income, and, over the longer term, estate or inheritance taxation.

2/Additional travel restrictions could hurt luxury offshore spending

Over the summer, the Chinese government has introduced tighter controls around outbound travel notably for individuals working in the technology sector (on top of already existing restrictions for government officials and SOE). Indeed, China increasingly views advanced technology and related industries as strategically important to national interests. As a result, authorities appear to be exercising closer oversight of overseas travel and international interactions involving employees in sensitive technology sectors, reflecting a broader focus on security, data protection and technological self-sufficiency.

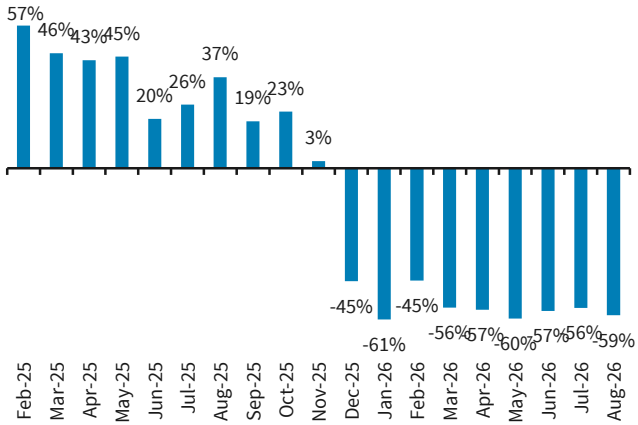
How many people could be impacted? While the exact scope remains difficult to assess, we estimate that employees working in SOEs and the technology sector together represent approximately 9% of China's workforce (8% for the SOE employees and 1% for the IT sector). Not all of these individuals are likely to be impacted by travel restrictions, but the figure illustrates the potentially large pool of consumers that could be subject to heightened scrutiny around overseas travel. Although the technology industry might still be a small sector overall, it has been a sector which has seen wealth creation and has brought new luxury goods buyers in

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our view. Additional scrutiny around this industry could thus have consequences for the luxury goods sector as well.

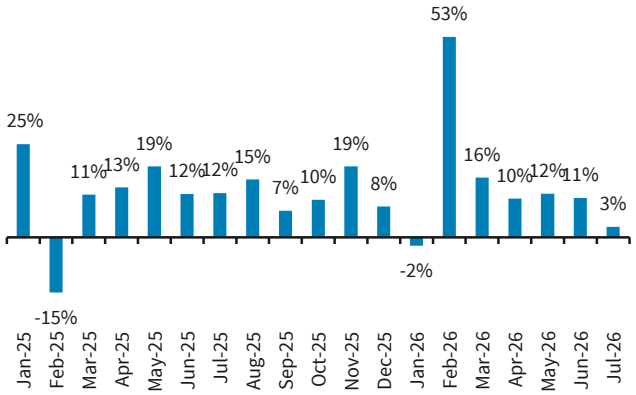
Where is Chinese offshore luxury spending located? Chinese offshore spending represent c.35% of Chinese sales, in our view, and we think that the majority takes place in Asia; lately Korea has been the main beneficiary of Chinese spending. Offshore spending has already slowed in Q3 and these incremental news flows around offshore tax or offshore travel could bring additional headwinds going forward.

FIGURE 8. China offshore spending in Japan has been negative for more than a year



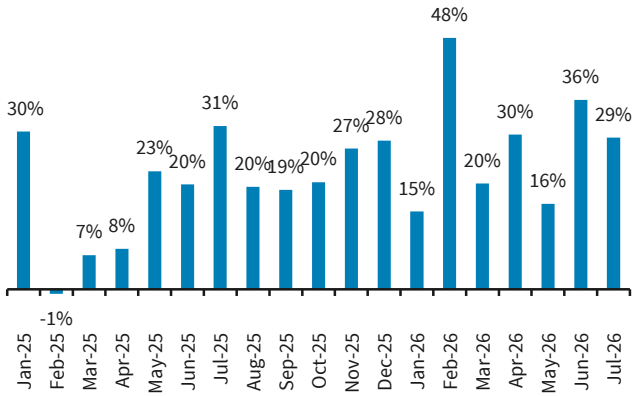
Inbound Chinese tourists to Japan - % y/y change
Source: Japan National Tourism Organization (JNTO)

FIGURE 9. China offshore spending in HK has normalized over the summer



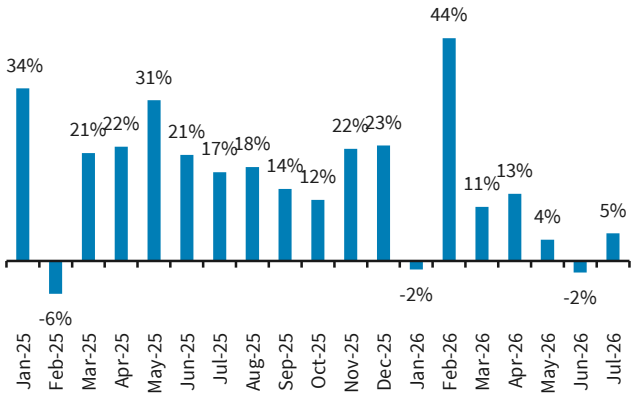
Inbound Chinese tourists to Hong-Kong - % y/y change
Source: Japan National Tourism Organization (JNTO)

FIGURE 10. Korea has seen the biggest influx of Chinese tourists lately



Inbound Chinese tourists to Korea- % y/y change
Source: Korea Tourism Organization (KTO)

FIGURE 11. China offshore spending in Macao has been softer in Q3



Inbound Chinese tourists to Macau - % y/y change
Source: Hong Kong Tourism Board

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Competition for Consumer Attention Is Intensifying

As demand growth slows, competition is becoming more intense. Luxury brands are investing in increasingly sophisticated retail experiences to stimulate traffic, while alternative channels such as resale continue to professionalise. At the same time, a growing number of domestic brands are building desirability among both Chinese and Western consumers. Together, these developments suggest that winning consumer attention in China is becoming increasingly challenging.

Luxury brands trying to stimulate traffic through new store concept

Based on our latest visit to China in Q3, traffic across luxury malls remained relatively subdued. In response, brands have been adapting their retail strategies and continuing to invest in an attractive and differentiated physical retail environment.

This trend was particularly visible in Beijing's Sanlitun district, where several luxury houses have recently opened standalone flagship stores with ambitious architecture, innovative design and an enhanced focus on experiential retail. Brands such as Louis Vuitton, Dior, Tiffany and Hermès for instance have complemented their traditional retail offering with services such as cafés, restaurants and exclusive client spaces.

While Gucci has recently been more closely associated with store rationalisation in China, we note that the brand continues to invest selectively in key locations. Notably, Gucci is expected to open a new store in Shanghai's Taikoo Hui, adjacent to Louis Vuitton's highly visible "The Louis" concept,

FIGURE 12. Some of the recent openings have focused on flagship stand-alone stores



Beijing Sanlitun - Luxury stores
Source: Barclays Research

FIGURE 13. Gucci is planning to open a store in Shanghai close to LV's Louis boat



Gucci opening
Source: Barclays Research

Domestic brands already building desirability with Western consumers

As discussed before, we continue to see domestic brands gaining traction in China. While most Chinese brands still operate at significantly lower price points than international luxury peers,

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they are increasingly capturing share of wallet as consumers trade down and become more willing to consider local alternatives.

In Q3, the brand that appeared to generate some of the strongest consumer interest was **Pane**, a Chinese sneaker brand with an average price of around €100. It was one of the very few brands we observed with queues outside its stores. Interestingly, footfall included both Chinese and Western consumers, suggesting a level of brand awareness and desirability that extends beyond its domestic customer base, despite the company still having a relatively limited store network in Mainland China.

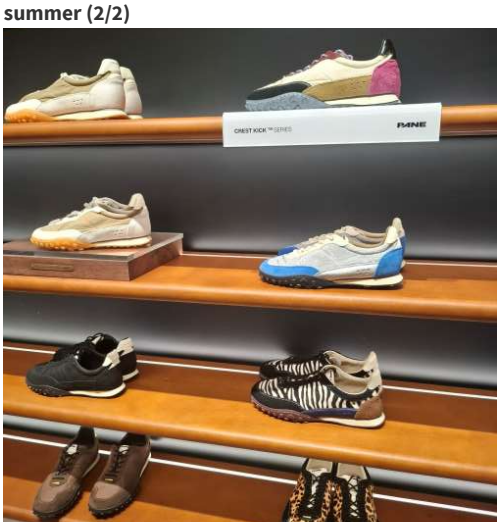
A similar dynamic could be seen across other emerging Chinese premium brands, including **Songmont** in leather goods and **Documents** and **To Summer** in fragrances.

FIGURE 14. Pane - Chinese footwear brand enjoyed strong brand heat over the summer (1/2)



Pane store in Beijing Sanlitun
Source: Barclays Research

FIGURE 15. Pane - Chinese footwear brand enjoyed strong brand heat over the summer (2/2)



Pane store in Shanghai
Source: Barclays Research

Second hand offering getting stronger in China

The following company privately held and is not under coverage by Barclays Research: ZZER . Information about this company is being provided for information purposes only and is not an investment recommendation by Barclays Research.

During our latest trip to China, we were struck by the strength and sophistication of the luxury resale offering. ZZER (private), a luxury resale platform launched around a decade ago, has expanded beyond its online roots and begun operating physical stores since 2022. The company is now present in several major Chinese cities, including Shanghai, Beijing, Shenzhen and Chengdu. These stores resemble large-scale warehouses, with extensive aisles of luxury products organised by brand and category. Every item is authenticated before being displayed for sale.

The customer journey is highly streamlined. Upon arrival, visitors store their personal belongings in a locker, retaining only their phone. After receiving a pair of gloves, they are free to browse the store and scan the tag attached to each item to access detailed product information (see Figure 23). The Shanghai warehouse carries all major luxury brands, including Hermès and Chanel. As ZZER operates on a consignment model, the final transaction price can be negotiated directly between buyer and seller.

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We were impressed not only by the scale of the stores and the breadth of inventory, but also by the level of operational efficiency. The retail experience resembles that of a highly organised distribution centre, with seamless integration between the online platform and the physical store, strong item traceability, and detailed information on product condition.

In our view, this type of offering is particularly appealing to aspirational and middle-class consumers who continue to aspire to luxury ownership but are increasingly willing to forego the traditional luxury retail experience in exchange for greater value. The continued improvement in product availability, authentication processes and shopping convenience could further support growth of the secondary luxury market in China.

FIGURE 16. Zzer - second hand platform - Shanghai warehouse



Source: Barclays Research

FIGURE 17. Zzer - second hand platform - Shanghai warehouse



Source: Barclays Research

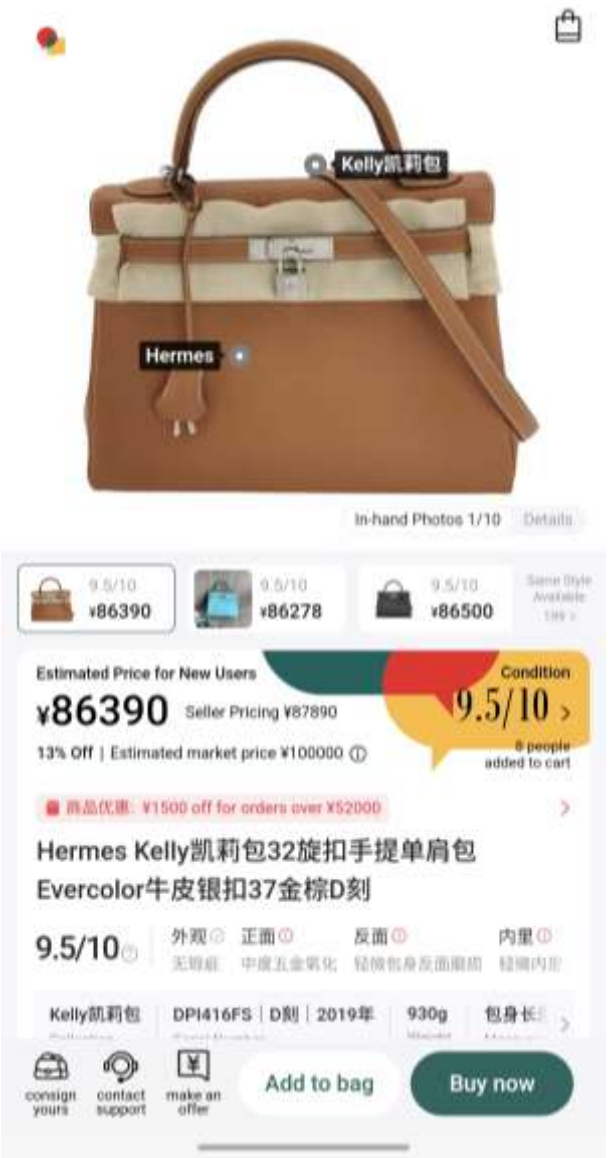
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FIGURE 18. Zzer - second hand platform - Shanghai warehouse



Source: Barclays Research

FIGURE 19. Zzer - second hand platform - Example of product page



Source: Barclays Research

Appendix: China data handbook

Macro environment unlikely to get much better in 2027

For more details, please see note China Outlook: Turnaround remains elusive (18/09/26)

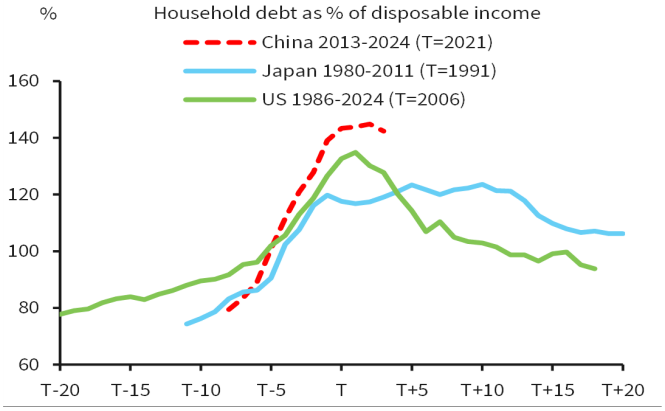
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FIGURE 20. GDP growth expected at 4% in 2027 (vs 4.5% in 2026)



China Real GDP forecast
Source: Barclays Research estimates

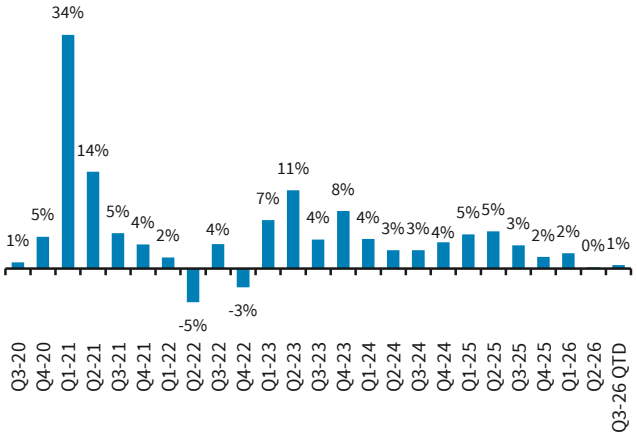
FIGURE 21. Household debt as % of disposable income could take years to normalize



Household debt as % of disposable income
Source: Wind, Barclays Research

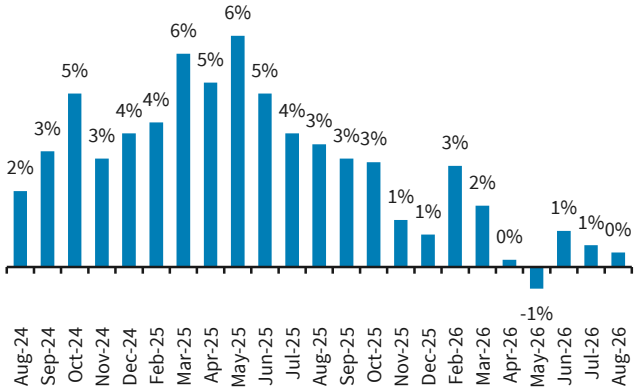
Chinese retail sales growth has turned flattish in past few months

FIGURE 22. Quarterly Retail Sales - China



Source: National Bureau of Statistics of China

FIGURE 23. Monthly Retail Sales - China

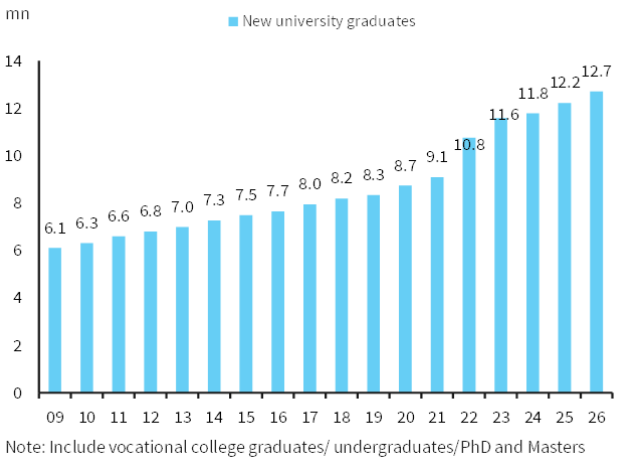


Source: National Bureau of Statistics of China

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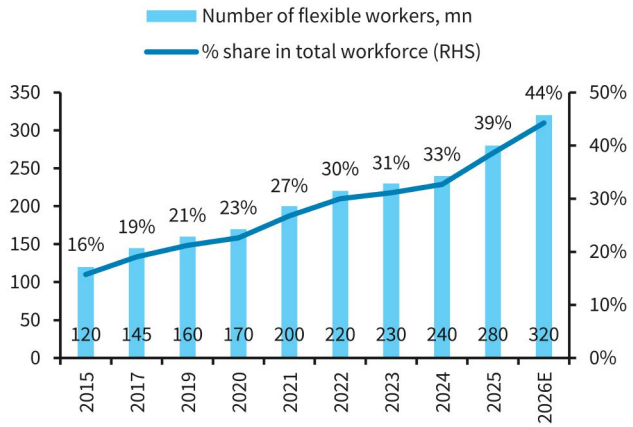
Unemployment is at its highest, especially among the youth

FIGURE 24. A growing number of university graduates could enter the workforce



Source: Wind, Barclays Research

FIGURE 25. Flexible employment has expanded rapidly amid challenging labour market conditions



Source: Wind, Barclays Research

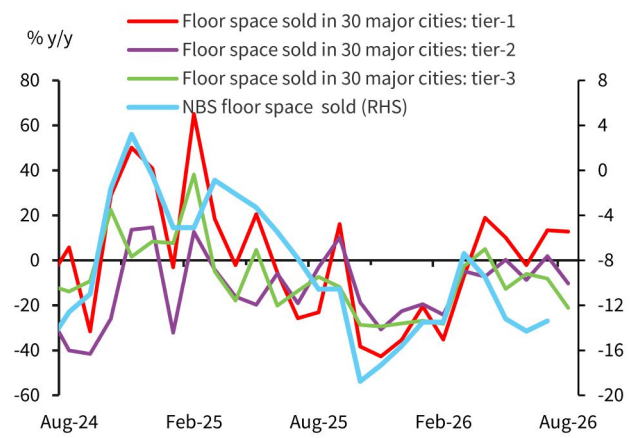
Property prices remain under pressure

FIGURE 26. Property sales weakened further in August



Source: Wind, Barclays Research

FIGURE 27. New property sales fell in lower tier cities



Source: Wind, Barclays Research

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